

Important Deal Terms

Detailed terms and other standard terms to protect and safeguard interest of both the parties shall be captured in formal agreement, that will be signed between the Startup/Company and the Investor(s). Some important terms are mentioned in this note for ready reference and to facilitate informed decision.

Type/Class of Securities:	CCPS (Compulsorily Convertible Preference Shares)
Pre-Money Valuation:	Rs. 40 Cr
Valuation Condition:	Valuation is linked to company's next fund-raise within 24 months from date of closure of current round, with cap of Rs. 40 Cr.
Discount:	Current investor shall get discount of 20% on the pre-money valuation of qualified financing round.
Conversion Valuation:	The conversion valuation of CCPS issued to the investor(s) shall be determined at the valuation price, at which the qualified financing round happens. The conversion valuation of the company for the purpose of converting the CCPS of the investor(s), shall be deemed not more than Rs. 40 Cr after the said discounting if the actual conversion valuation, after discounting, is greater than Rs. 40 Cr. If the company fails to raise qualified financing round within 24 months from the date of closure of current round; conversion shall happen at fair market value with said discounting, or Rs. 40 Cr whichever is lower.
Qualified Finance Amount: for conversion	Rs. 10 Cr in single or multiple tranches.

Conversion or Exit Mechanism for CCPS Investors

The Company and the Promoters shall make all reasonable endeavours to provide conversion or exit to the Investors by way of:

1. **Initial Public Offer (IPO):** If there is IPO, before the termination of underlying securities, Mandatory conversion into equity shares of the company prior to occurrence of an IPO at a price as per applicable laws.

2. **Merger Event:** If there is a merger/amalgamation event before the completion of 7 (seven) years from the date of issuance of the underlying securities, the investor will automatically be entitled to receive shares or securities of the surviving or resulting entity immediately prior to, or concurrent with, the consummation of such merger event, value equal to or greater of;

(i) The investment amount or

(ii) The value of the number of shares of Equity shares equal to the quotient of Investment amount divided by the price mentioned in the scheme of merger or amalgamation approved by the relevant authority ("the Conversion value").

The right of the underlying securities holder to receive shares or securities of the other surviving or resulting entity equal in value to the greater of the Investment Amount or Conversion value as above, is on par with the right of holders of Equity Shares and other Equity Linked Securities who are entitled to receive shares or securities of the other surviving or resulting entity immediately prior to, or concurrent with, the consummation of such Merger Event.

3. **Change of Control:** If there is change in control, the investor in its sole discretion shall be entitled to receive his/her investment amount plus any accrued interest.

4. **Dissolution Event:** If there is a dissolution event before the completion of 7 (seven) years from the date of issuance of underlying securities, the investor will automatically be entitled to receive a portion of proceeds through pro-rata liquidation preference on a fully diluted basis, due and payable to the holder of underlying securities immediately prior to consummation of the dissolution event.